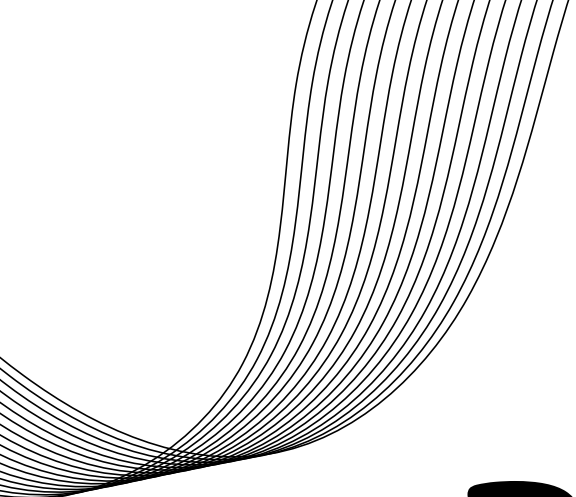




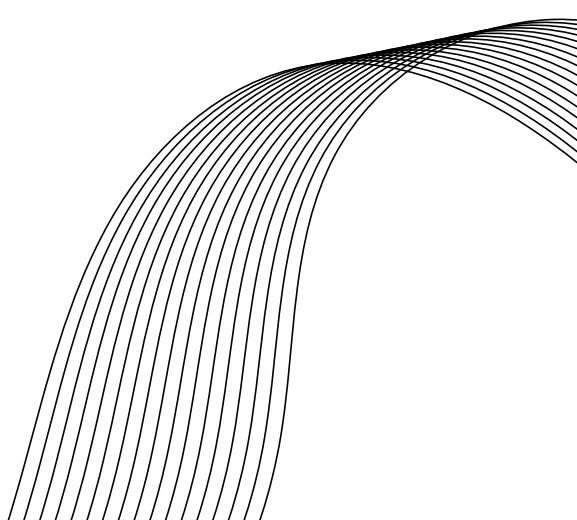
Role of MSMEs in India's Economic Development

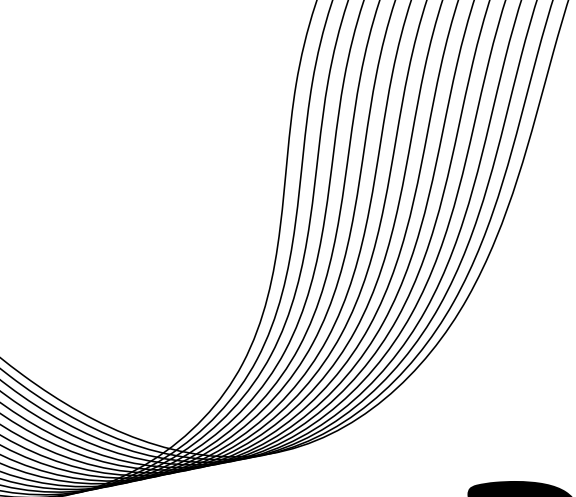
Vivek Sahu - 240005051

Hemant Santosh Yadav - 240005052

Shunmukh Karra - 240005046

V Hemal - 240051020





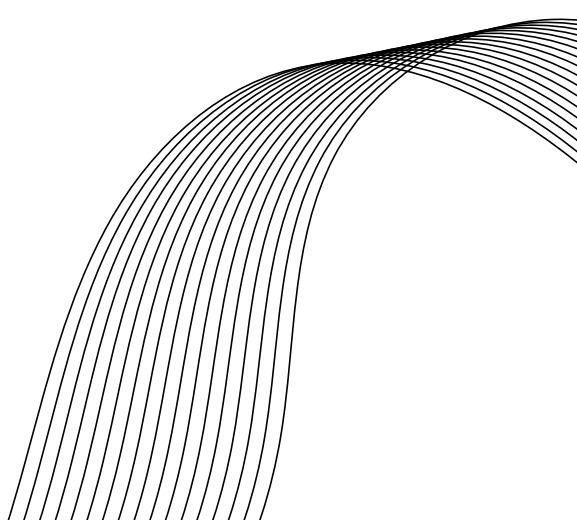
Role of MSMEs in India's Economic Development

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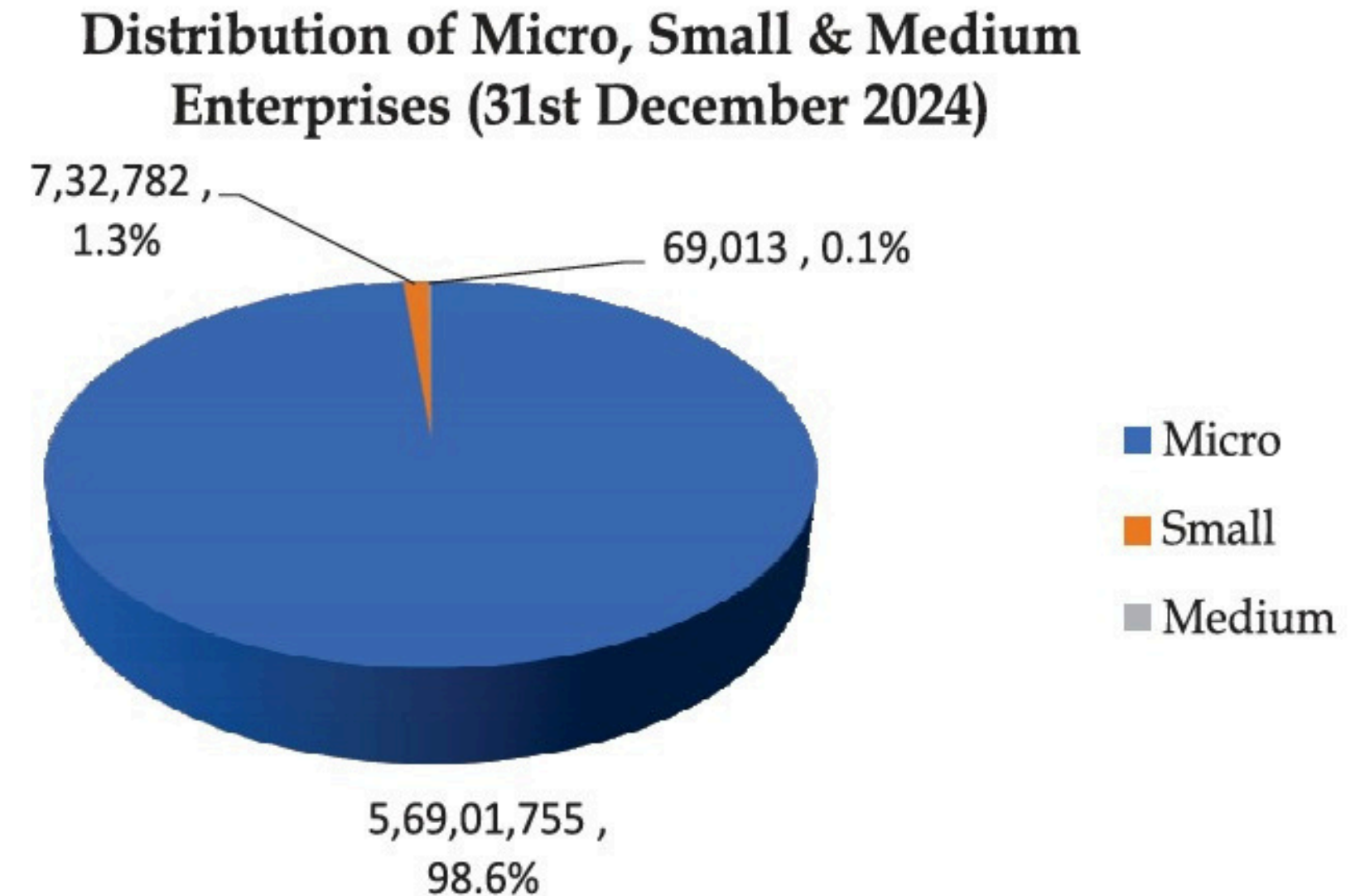
Shunmukh Karra - 240005046

V Hemal - 240051020



INTRODUCTION

- MSMEs are the backbone of the Indian economy.
- They contribute around 30% of India's GDP.
- They provide employment to over 11 crore people.
- They contribute more than 45% of India's merchandise exports.



Source: MSME Annual report (2024-25): Ministry of MSME's

Why MSMEs Matter

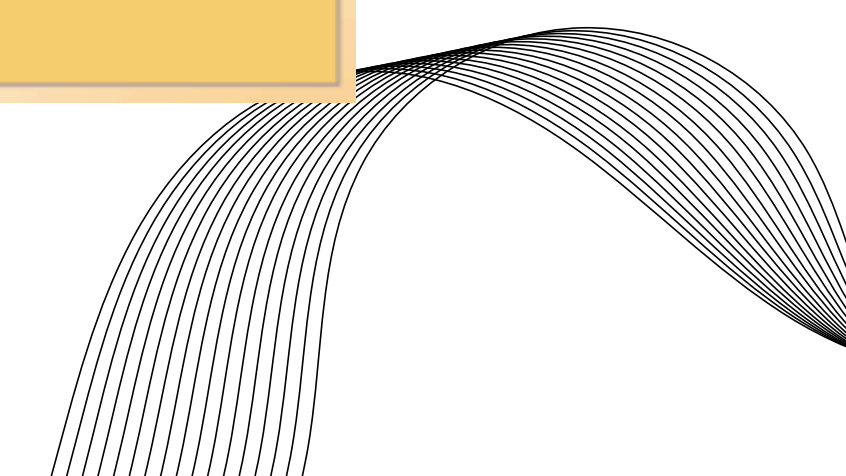
- **Promote inclusive growth**
- **Support rural and semi-urban development**
- **Reduce migration to big cities**
- **Strengthen manufacturing and exports**
- **Help India move toward a \$5 trillion economy**

MSME Definition in India

According to union budget 2025

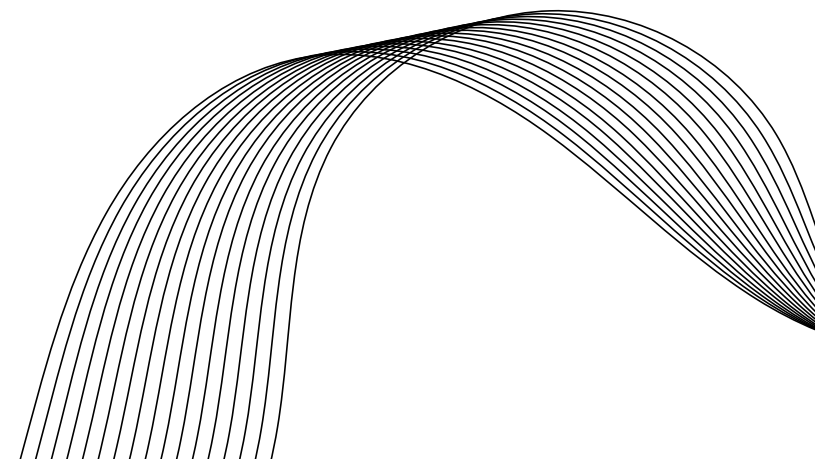
ENTERPRISE CATEGORY	PREVIOUS INVESTMENT LIMIT	REVISED INVESTMENT LIMIT	PREVIOUS TURNOVER LIMIT	REVISED TURNOVER LIMIT
MICRO ENTERPRISE	₹1 crore	₹2.5 crore	₹5 crore	₹10 crore
SMALL ENTERPRISE	₹10 crore	₹25 crore	₹50 crore	₹100 crore
MEDIUM ENTERPRISE	₹50 crore	₹125 crore	₹250 crore	₹500 crore

Source: India Filings , MSME new definition guide



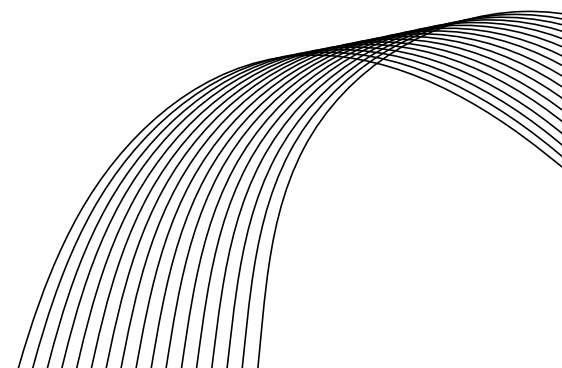
Objectives of the Study

- Identify major operational and financial challenges
- Quantify the credit gap
- Study the impact of MNC competition
- Examine infrastructure and raw material issues
- Analyze technology and skill gaps
- Suggest policy recommendations



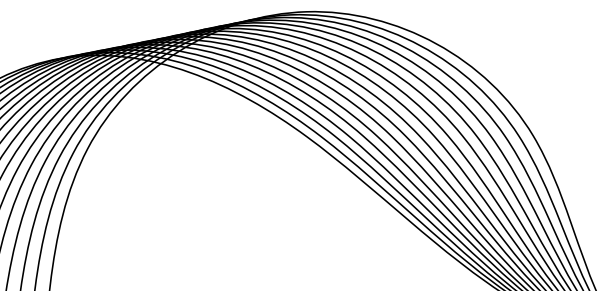
RESEARCH METHODOLOGY

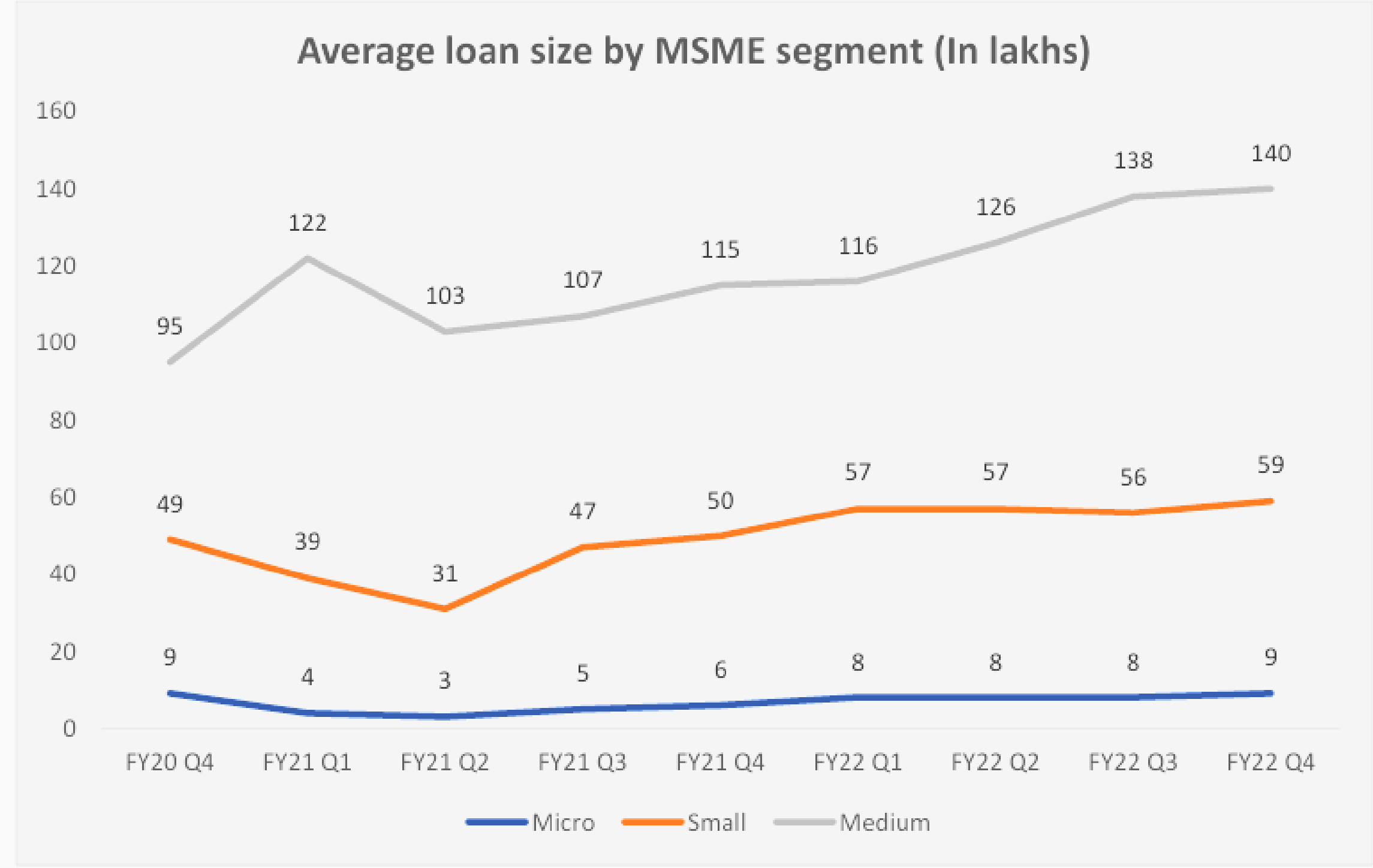
- **Descriptive and analytical research design**
- **Based only on secondary data**
- **Sources: Ministry of MSME, RBI, SIDBI, World Bank, NASSCOM, NSDC**
- **Study period: 2019–20 to 2024–25**



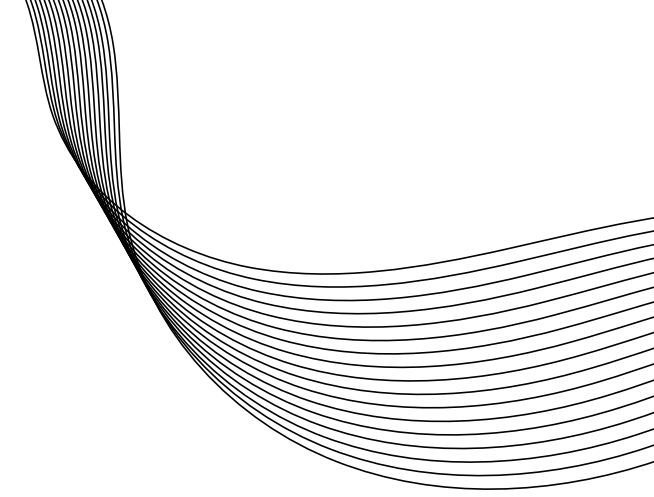
CHALLENGE 1 – LACK OF CREDIT FROM BANKS

- **MSMEs are seen as high-risk borrowers**
- **High collateral requirements and high interest rates**
- **Formal credit meets only a part of total demand**
- **Credit gap is one of the biggest barriers to growth**



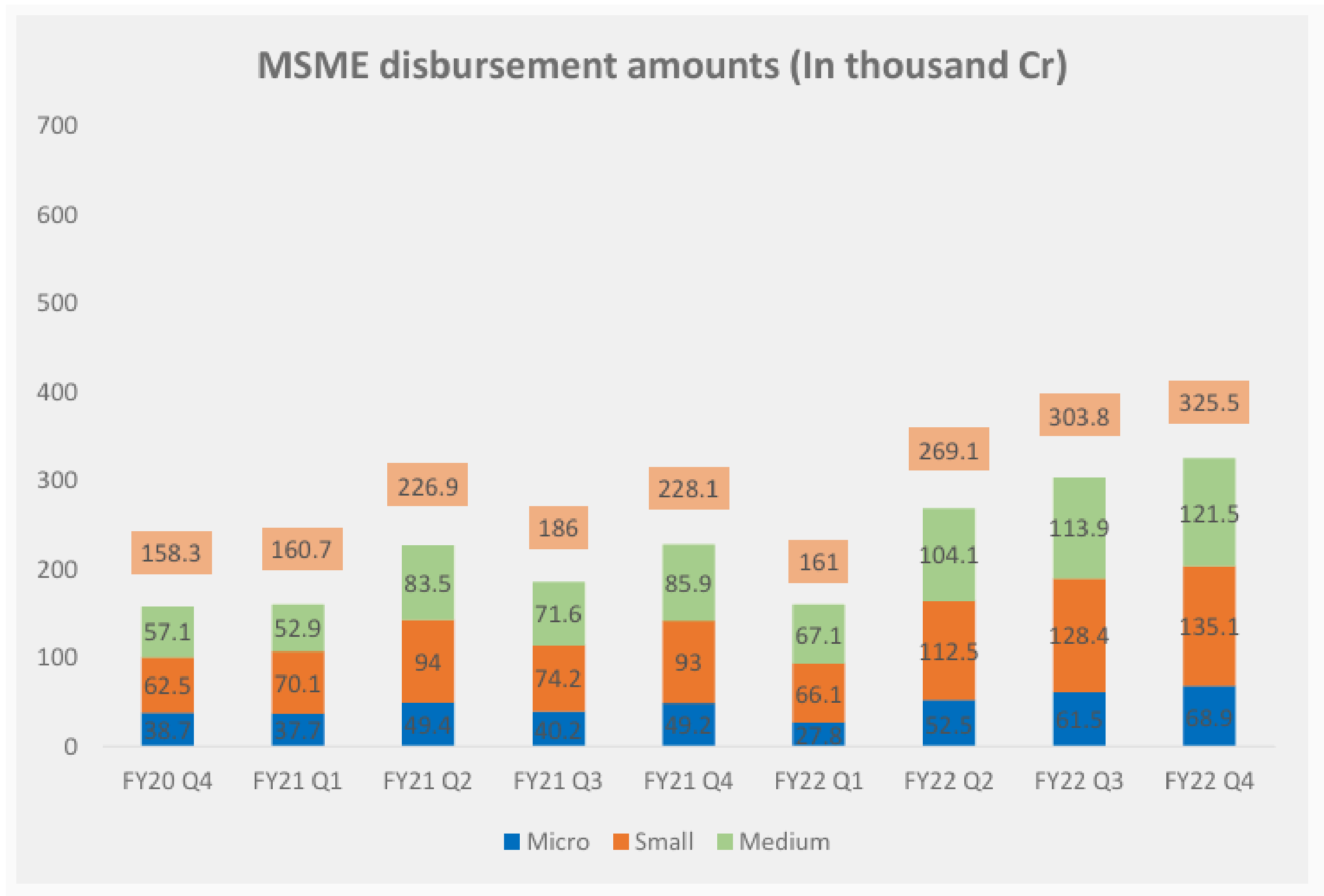


Source: BLinC Invest. India MSME Lending Landscape (2022)



CREDIT GAP IN MSME

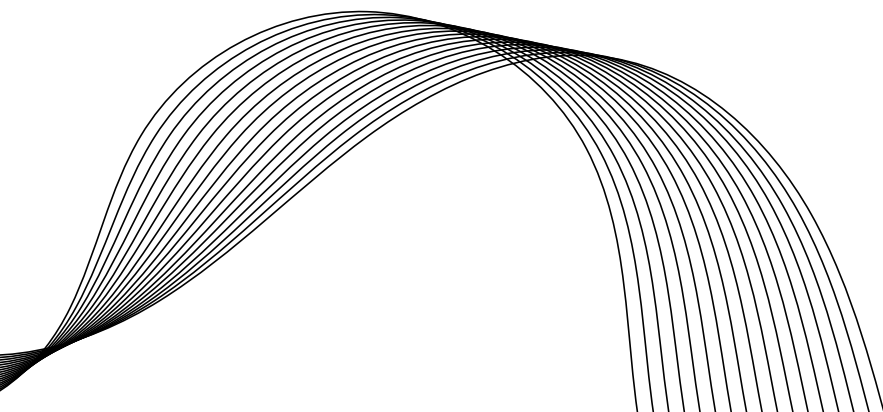
- **Total demand for MSME credit is very high**
- **Large share of credit demand remains unmet**
- **Micro enterprises face the worst credit shortage**
- **Limited formal credit forces dependence on informal lenders**



Source: BLinC Invest. India MSME Lending Landscape (2022)

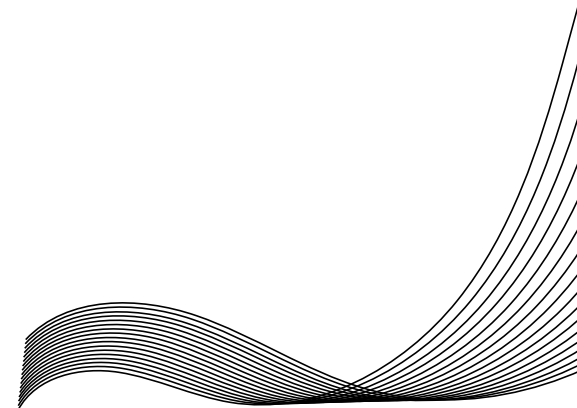
CHALLENGE 2 – COMPETITION FROM MNCS

- **MNCs have larger scale and lower production costs**
- **They spend much more on branding and advertising**
- **MSMEs lose market share, especially during shocks like COVID-19**
- **E-commerce dominance further increases pressure**



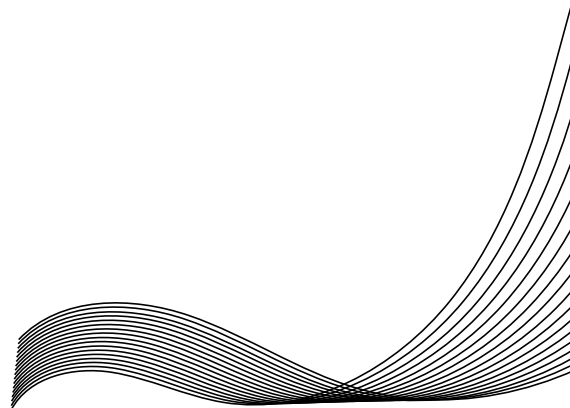
CHALLENGE 3 – POOR INFRASTRUCTURE

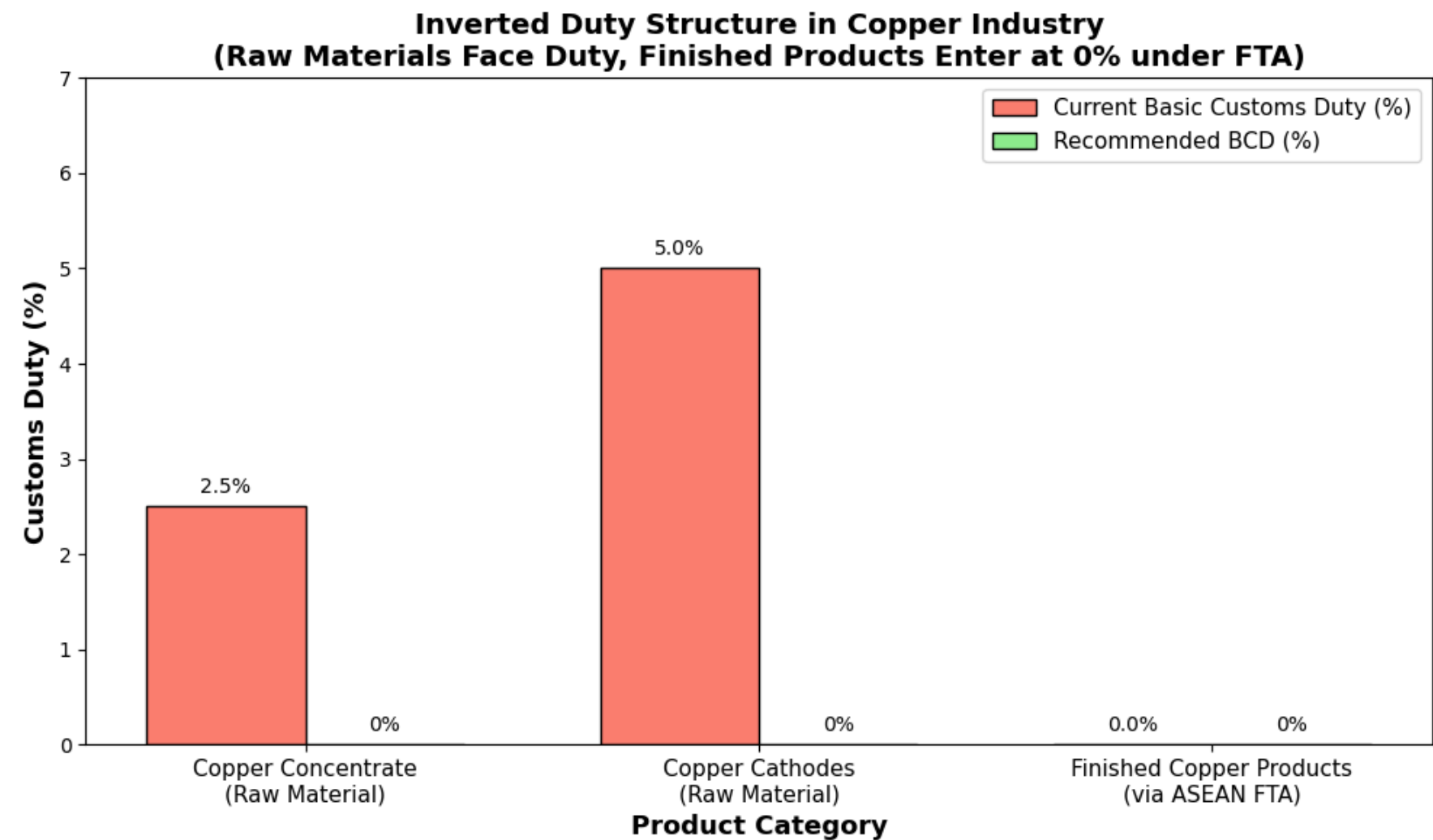
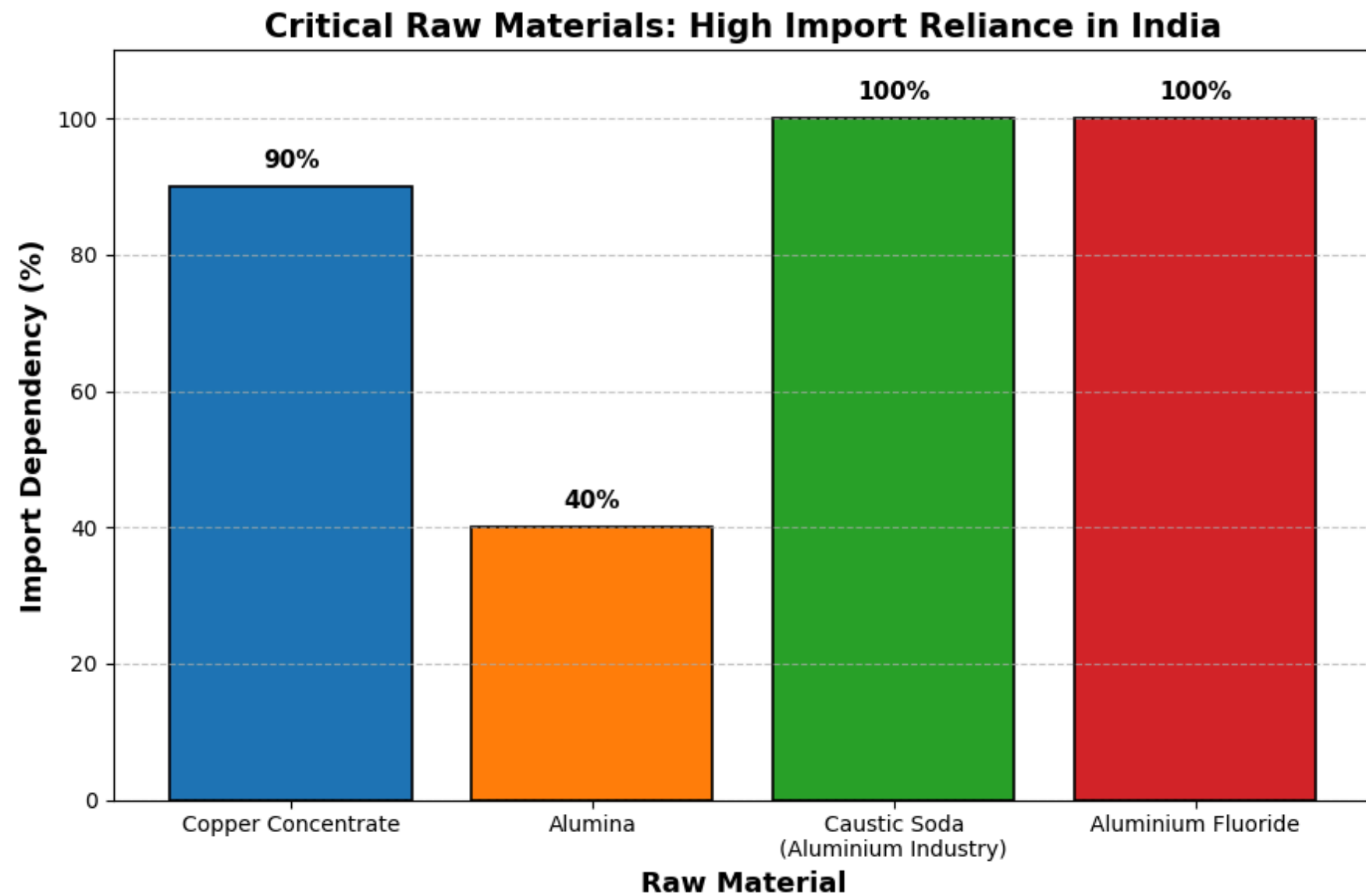
- **Irregular power supply**
- **Poor road connectivity**
- **Lack of reliable internet**
- **Lack of industrial parks and logistics support**
- **Infrastructure costs reduce MSME competitiveness**



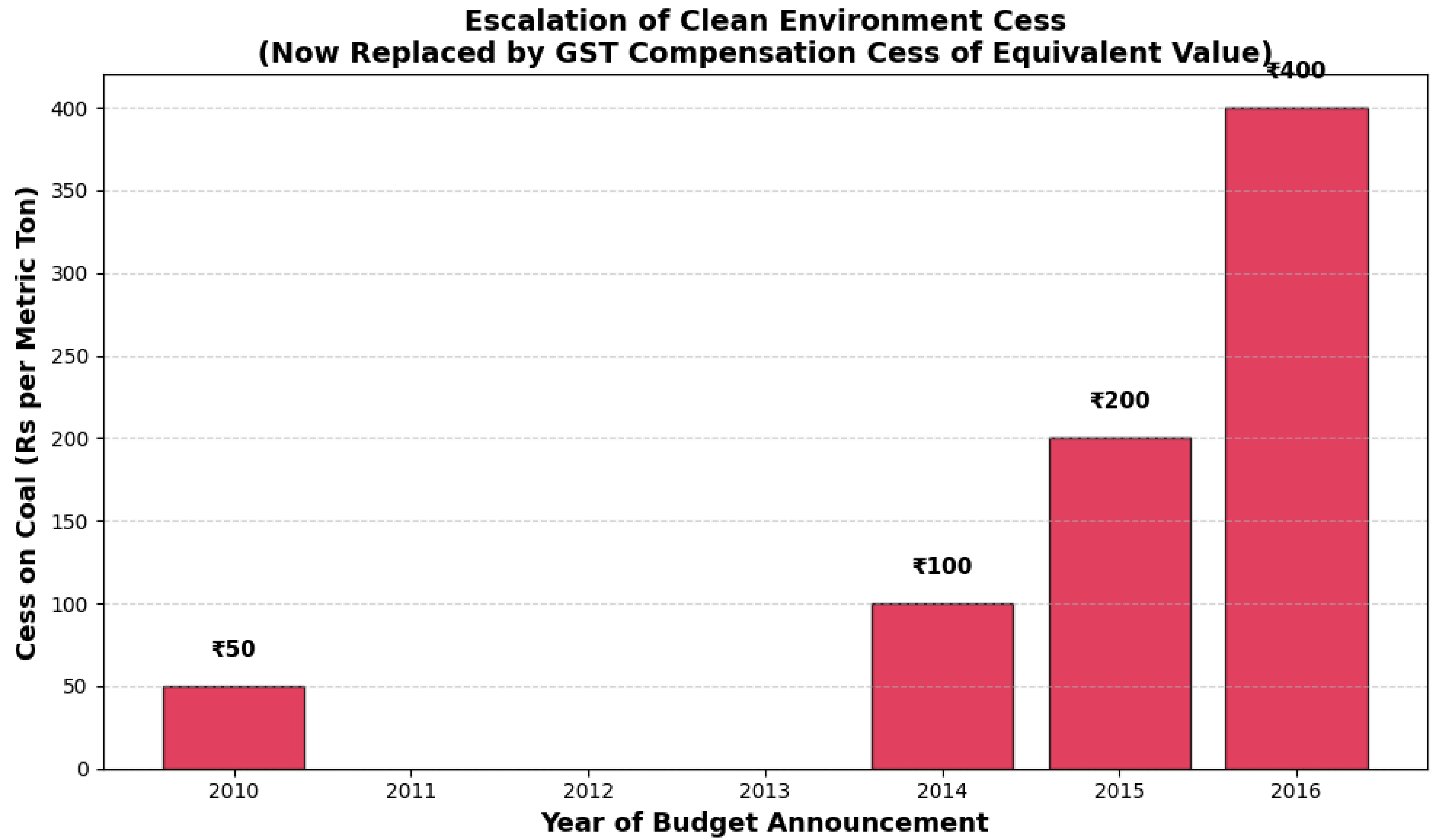
CHALLENGE 4 – RAW MATERIAL AND INPUT PROBLEMS

- Price volatility in steel, semiconductors, packaging, and cotton yarn
- Shortages disrupt production planning
- MSMEs have weak bargaining power
- Input cost shocks reduce profit margins and output

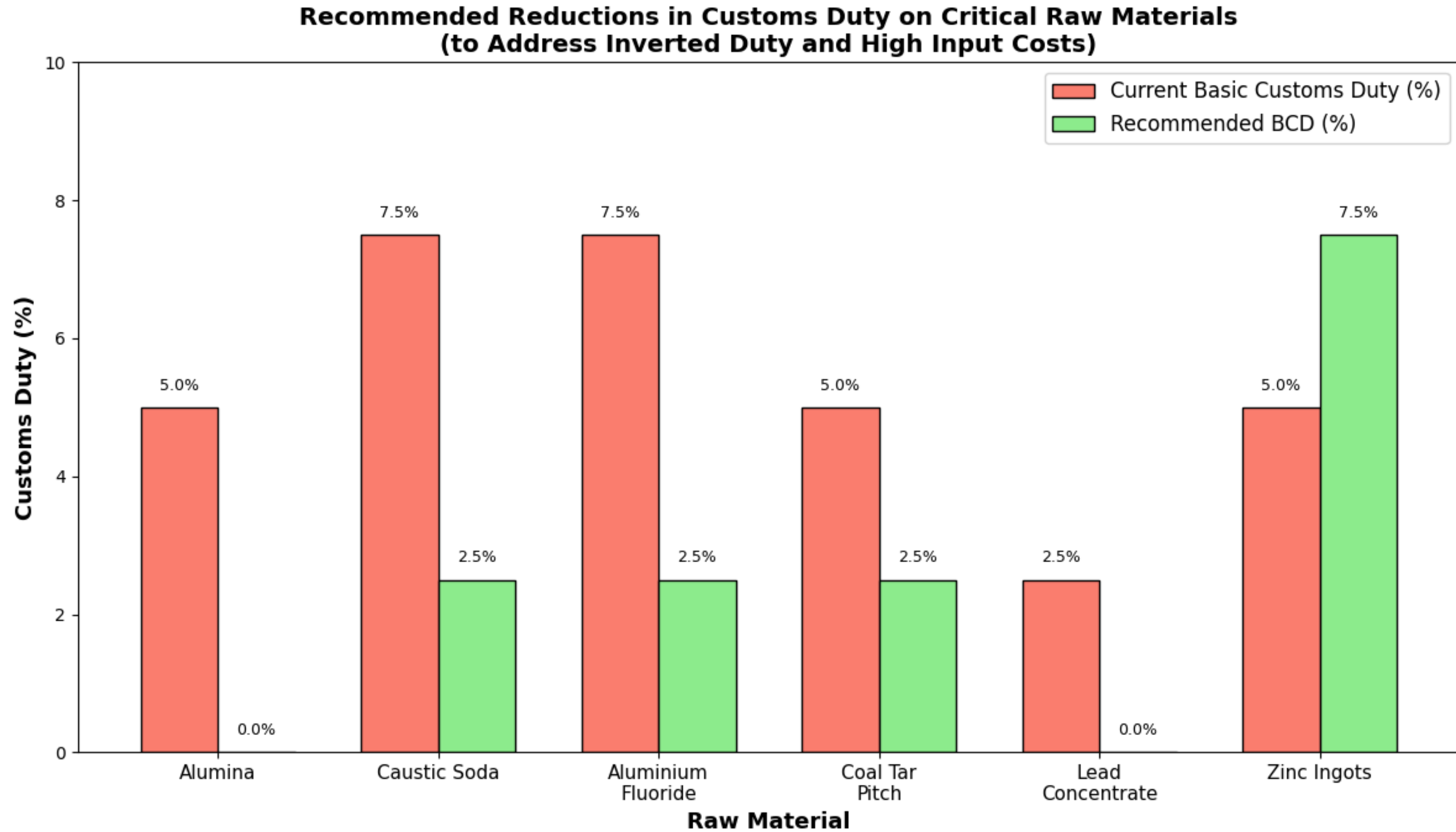




Data Source: FICCI's Pre-Budget Memorandum 2018-2019



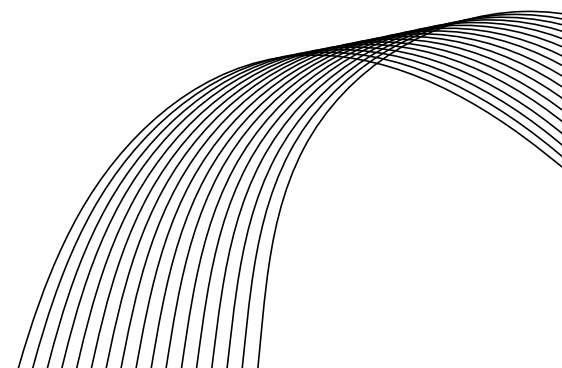
Data Source: FICCI's Pre-Budget Memorandum 2018-2019



Data Source: FICCI's Pre-Budget Memorandum 2018-2019

CHALLENGE 5 – LACK OF ADVANCED TECHNOLOGY

- Many MSMEs still use old machinery and manual systems
- Low adoption of cloud computing, AI/ML, and automation
- High cost and low digital literacy are major reasons
- Weak technology adoption lowers productivity and quality



5.1 MSME CHAMPIONS SCHEME

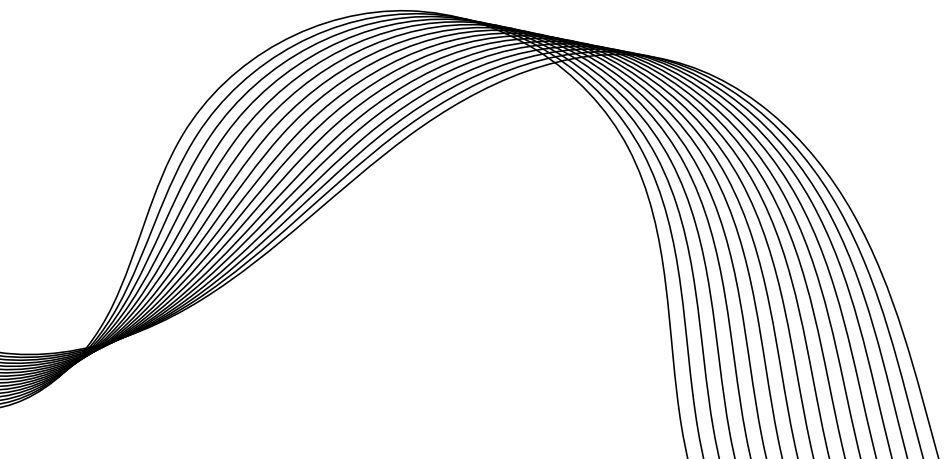
Key components of scheme

Component	Focus Area	Financial Assistance / Subsidy	Eligibility
MSME-Sustainable (ZED)	Zero Defect (Quality) & Zero Effect (Environment)	- Subsidy: 80% (Bronze), 60% (Silver), 50% (Gold) - Testing subsidy: Up to 75% (Max ₹50,000) - Tech upgradation: Up to ₹3 lakhs	UDYAM-registered MSMEs
MSME-Competitive (Lean)	Waste reduction & productivity improvement	- 90% subsidy on implementation cost - Max support: ₹2.40 lakhs (Advanced level)	UDYAM-registered MSMEs
MSME-Innovative	Technology & knowledge-based innovation	- Incubation idea support: Up to ₹15 lakh - Design project: Up to ₹40 lakh (75% grant) - Foreign Patent: Up to ₹5 lakh	MSMEs, Individuals, Students (varies by sub-component)

Data Source: Ministry of MSME’s

CHALLENGE 6 – WEAK MARKETING AND DISTRIBUTION CHANNELS

- Many MSMEs depend on local fairs and word of mouth
- Limited access to e-commerce, modern retail, and exports
- Poor digital marketing capability
- This limits growth and national/global reach



PROCUREMENT & MARKETING SUPPORT SCHEME (PMS)

Objective	Promote market access for MSMEs through trade fairs, exhibitions, and capacity building on packaging, barcode, e-commerce & GeM portal
Eligibility	Manufacturing/Service MSEs with valid Udyam Registration (UR)
Key Tech & Certification Support	• Adoption of Modern Packaging Techniques • Adoption of Bar Code • Adoption of e-Commerce Platform
Financial Assistance (Subsidy)	• Bar Code: 80% subsidy on registration + annual fee (first 3 years) for Micro enterprises • Trade Fairs: 80% space rent subsidy (General) / 100% (SC/ST/Women/PH/Aspirational Districts) • e-Commerce: Membership fee/contingency expenses for Micro enterprises
How to Apply	Online: https://my.msme.gov.in

Data Source: Ministry of MSME's

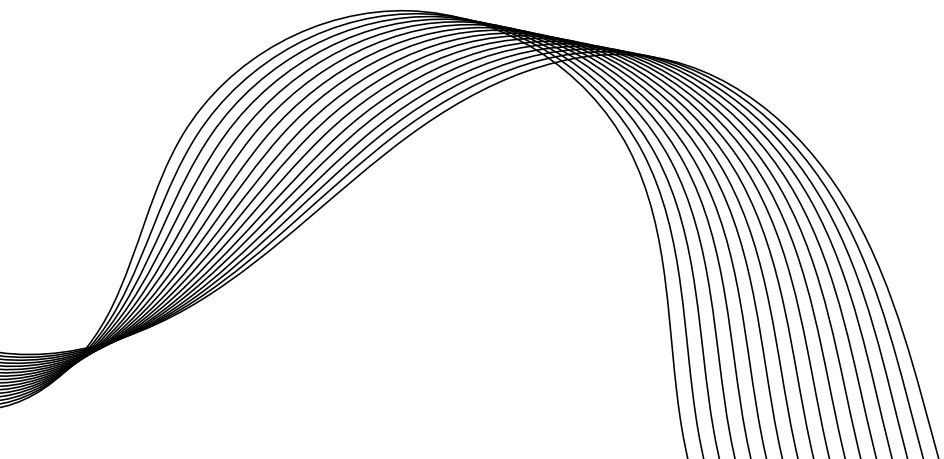
INTERNATIONAL COOPERATION (IC) SCHEME

Objective	Promote MSME exports through international exhibitions, trade fairs, and capacity building of first-time exporters
Eligibility	Government Institutions, Registered Industry Associations, Export Promotion Councils (EPCs), and First-time MSE exporters
Key Tech & Certification Support (CBFTE Component)	• Testing & Quality Certification for export products • Registration-cum-Membership Certificate with EPCs • Export Insurance premium reimbursement
Financial Assistance (Reimbursement Basis)	• Testing & Quality Certification fee • EPC registration fee • Export insurance premium • Airfare, space rent, freight, advertisement charges (for international events)
How to Apply	Online: https://ic.msme.gov.in

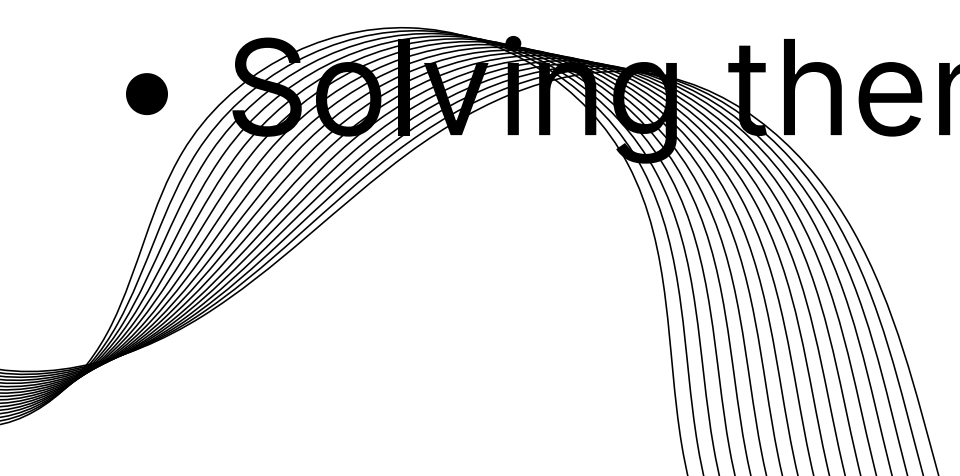
Data Source: Ministry of MSME's

CHALLENGE 7 – LACK OF TRAINING AND SKILL DEVELOPMENT

- Very few MSMEs provide formal training
- Workers lack digital, technical, and quality control skills
- High attrition discourages training investment
- Skill gaps reduce productivity and export readiness



CONCLUSION AND KEY FINDINGS

- MSMEs are vital for GDP, employment, exports, and inclusive development
 - Main challenges are credit gap, technology gap, poor infrastructure, raw material issues, marketing barriers, and skill shortages
 - These problems are interconnected and reinforce each other
 - Solving them is necessary for sustainable MSME growth
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POLICY RECOMMENDATIONS

- Collateral-free credit with faster disbursement
- Shared machinery hubs in industrial clusters
- Mandatory MSME procurement through a single digital portal
- Better technology support and skill training
- Stronger infrastructure and market access support
- These measures can unlock MSME potential and boost India's economy



Thank You